**4.** Debt equity ratio is a measure of

(a) Short term solvency (b) Long term solvency

(c) Profitability (d) Efficiency

**5.** Match List I with List II and select the correct answer using the codes given below:

| List I | List II |
|---|---|
| (i) Current ratio | 1. Liquidity |
| (ii) Net profit ratio | 2. Efficiency |
| (iii) Debt-equity ratio | 3. Long term solvency |
| (iv) Inventory turnover ratio | 4. Profitability |

Codes:

| | (i) | (ii) | (iii) | (iv) |
|---|---|---|---|---|
| (a) | 1 | 4 | 3 | 2 |
| (b) | 3 | 2 | 4 | 1 |
| (c) | 4 | 3 | 2 | 1 |
| (d) | 1 | 2 | 3 | 4 |

**6.** To test the liquidity of a concern, which of the following ratios are useful?

(i) Quick ratio

(ii) Net profit ratio

(iii) Debt-equity ratio

(iv) Current ratio

Select the correct answer using the codes given below:

(a) (i) and (ii) (b) (i) and (iv) (c) (ii) and (iii) (d) (ii) and (iv)

**7.** Proportion of share holders' funds to total assets is called

(a) Proprietary ratio (b) Capital gearing ratio

(c) Debt equity ratio (d) Current ratio

**8.** Which one of the following is not correctly matched?

(a) Liquid ratio – Proportion

(b) Gross profit ratio – Percentage

(c) Fixed assets turnover ratio – Percentage

(d) Debt-equity ratio – Proportion

**9.** Current liabilities ₹ 40,000; Current assets ₹ 1,00,000 ; Inventory ₹ 20,000 . Quick ratio is

(a) 1:1 (b) 2.5:1 (c) 2:1 (d) 1:2

**10.** Cost of revenue from operations ₹ 3,00,000; Inventory in the beginning of the year ₹ 60,000; Inventory at the close of the year ₹ 40,000. Inventory turnover ratio is

(a) 2 times (b) 3 times (c) 6 times (d) 8 times

| **Answers:** | **1. (b)** | **2. (a)** | **3. (d)** | **4. (b)** | **5. (a)** | **6. (b)** | **7.(a)** | **8. (c)** | **9. (c)** | **10.(c)** |
|---|---|---|---|---|---|---|---|---|---|---|

## II Very short answer questions

**1.** What is meant by accounting ratios?

**2.** What is quick ratio?



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